

PHUSARAM MUNDHRA PVT LTD

SIGNIFICANT ACCOUNTING POLICIES & NOTES ON FINANCIAL STATEMENTS

Note No. : 1

A. Significant Accounting Policies

1. Basis of accounting:-

These financial statements have been prepared in accordance with the Generally Accepted Accounting Principles in India (Indian GAAP) including the Accounting Standards notified under Section 133 of the Companies Act, 2013, read with Rule 7 of the Companies (Accounts) Rules, 2014 and the relevant provisions of the Companies Act, 2013.

The financial statements have been prepared under the historical cost convention on accrual basis.

2. Use of Estimates

The preparation of financial statements in conformity with Indian GAAP requires the management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities, at the end of the reporting period. Although these estimates are based on the management's best knowledge of current events and actions, uncertainty about these assumptions and estimates could result in the outcomes requiring a material adjustment to the carrying amounts of assets or liabilities in future periods.

3. Revenue Recognition:-

Expenses and Income considered payable and receivable respectively are accounted for on accrual basis.

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured.

4. Property, Plant & Equipment :-

Property, Plant & Equipment including intangible assets are stated at their original cost of acquisition including taxes, freight and other incidental expenses related to acquisition and installation of the concerned assets less depreciation till date.

Company has adopted cost model for all class of items of Property Plant and Equipment.

5. Depreciation :-

Depreciation on Fixed Assets is provided to the extent of depreciable amount on the Written down Value (WDV) Method/SLM method. Depreciation is provided based on useful life of the assets as prescribed in Schedule II to the Companies Act, 2013.

6. Foreign currency Transactions:-

Transactions arising in foreign currencies during the year are converted at the rates closely approximating the rates ruling on the transaction dates. Liabilities and receivables in foreign currency are restated at the year-end exchange rates. All exchange rate differences arising from conversion in terms of the above are included in the statement of profit and loss.

7. Investments :-

Investments, which are readily realizable and intended to be held for not more than one year from the date on which such investments are made, are classified as current investments. All other investments are classified as non-current investments.

8. Inventories :-

Inventories are valued as under:-

1. Inventories : Lower of cost(FIFO/specific cost/Weighted avg) or net realizable value
2. Scrap : At net realizable value.

9. Borrowing cost:-

Borrowing costs that are attributable to the acquisition or construction of the qualifying assets are capitalized as part of the cost of such assets. A qualifying assets is one that necessarily takes a substantial period of time to get ready for its intended uses or sale. All other borrowing costs are charged to revenue in the year of incurrence.

10. Retirement Benefits:-

The retirement benefits are accounted for as and when liability becomes due for payment.

11. Taxes on Income:-

Provision for current tax is made on the basis of estimated taxable income for the current accounting year in accordance with the Income Tax Act, 1961. The deferred tax for timing differences between the book and tax profits for the year is accounted for, using the tax rates and laws that have been substantively enacted by the balance sheet date. Deferred tax assets arising from timing differences are recognized to the extent there is virtual certainty with convincing evidence that these would be realized in future. At each Balance Sheet date, the carrying amount of deferred tax is reviewed to reassure realization.

12. Provisions, Contingent Liabilities and Contingent Assets:- (AS-29)

Provisions are recognized only when there is a present obligation as a result of past events and when a reliable estimate of the amount of the obligation can be made.

Contingent Liabilities is disclosed in Notes to the account for:-

- (i) Possible obligations which will be confirmed only by future events not wholly within the control of the company or
- (ii) Present Obligations arising from past events where it is not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount of the obligation cannot be made.

Contingent assets are not recognized in the financial statement since this may result in the recognition of the income that may never be realized.

13. General:

Except wherever stated, accounting policies are consistent with the generally accepted accounting principles and have been consistently applied.

(B) Notes on Financial Statements

1. The Company is engaged in the business of sale of gold & silver bullions.
2. The information regarding classification of creditors as micro and small enterprise is not applicable to the company, hence information as required by schedule III of the Companies Act 2013 is not given.
3. Trade receivables, Trade payables, Loans & Advances and Unsecured Loans have been taken at their book value subject to confirmation and reconciliation.
4. Payments to Auditors:

Auditors Remuneration	2025-2026	2024-2025
Audit Fees	50.00	75.00
Company Law Matters	81.50	96.50
Total	131.50	171.50

5.Loans and Advances are considered good in respect of which company does not hold any security other than the personal guarantee of persons.

6. No provision for retirement benefits has been made, in view of accounting policy No. 10.

7. Advance to others includes advances to concerns in which directors are interested:

(Figures in thousand)

Name of Concern	Current Year Closing Balance	Previous Year Closing Balance
NA		

8. Related Party disclosure as identified by the company and relied upon by the auditors:

Disclosures under Accounting Standards

(i) Details of related parties:

Description of relationship	Nature of Relationship	Names of related parties
Key Management Personnel (KMP)	Non-Executive Director	Ashok Kumar Mundhra
Key Management Personnel (KMP)	Whole Time Director	Girish Kumar Mundhra
Relatives of Director	Relative of Director	Krishna Kumar Mundhra
Key Management Personnel (KMP)	Whole Time Director	Shyamdev Mundhra
Relatives of Director	Relative of Director	Sunith S. Mundhra
Relatives of Director	Relative of Director	Keerthi Karnani
Relatives of Director	Relative of Director	Pooja Mundhra
Relatives of Director	Relative of Director	Praveen Kumar Mundhra

(ii) Details of related party transactions and balances outstanding:

Particulars	Nature of Relationship	31.03.2026	31.03.2025
Transactions during the year			
Interest Expense			
Girish Kumar Mundhra	Whole Time Director	0.95	0.87
Keerthi Karnani	Relative of Director		0.05
Pooja Mundhra	Relative of Director		0.04
Praveen Kumar Mundhra	Relative of Director		11.57
Shyamdev Mundhra	Whole Time Director	1.54	1.46
Sunith S. Mundhra	Relative of Director	0.76	0.71
Krishna Kumar Mundhra	Relative of Director	178.55	169.40
Ashok Kumar Mundhra	Non-Executive Director	0.02	0.02

Balances outstanding at the end of the year			
Loan Taken			
Girish Kumar Mundhra	Whole Time Director	16.71	15.77
Shyamdev Mundhra	Whole Time Director	27.28	25.74
Sunith S. Mundhra	Relative of Director	13.36	12.60
Krishna Kumar Mundhra	Relative of Director	3,136.53	2,975.84
Ashok Kumar Mundhra	Non-Executive Director	0.36	0.34

9.The Company has a case pending disposal in NCLT due to dispute among the shareholders.

10. Regarding Contingent Liabilities and Provision:

- There exist creditors dispute pertaining to FY 2004-05 amounting to Rs.7,88,193/-. The matter is still pending resolution as per management explanation.
- Company has made no provision in respect of Income Tax demand of Rs.3,80,961/- for the AY 2017, Rs. 4,50,620/- for the AY 2020 and Rs. 4,94,000 for AY 2021 as the rectification petition under section 154 of the Income Tax Act'1961, has been filed for the rectifications of mistake apparent on record. The company is confident of timely resolution in this issue.
- Company has made no provision in respect of disputed liability which is pending disposal before the Commercial Tax Department Appeals pertaining to the AY 2007-08 towards tax for Rs. 4,89,836/-, AY 2014-15 towards tax for Rs. 1,90,6561 and AY 2014-15 towards penalty Rs.95,3284/-.

11. Additional Regulatory Information/disclosures as required by General Instructions to Schedule III to the Companies Act, 2013 are furnished to the extent applicable to the Company.

12. % of imported & indigenous raw material & consumables

Particulars	2026		2025	
	%	Amount	%	Amount
Imported	0.00	0.00	0.00	0.00
Indigenous	0.00	0.00	0.00	0.00

13. Value of Imports

Raw Material	Nil	Nil
Finished Goods	Nil	Nil

14. Expenditure in Foreign Currency Nil Nil

15. Earning in Foreign Exchange Nil Nil

16. Previous year figures have been regrouped/rearranged wherever necessary.

Signature to notes 1 to 26

In terms of Our Separate Audit Report of Even Date Attached.

For S S P JAIN AND ASSOCIATES LLP
Chartered Accountants

For PHUSARAM MUNDHRA PVT LTD

(SUNANDA JAIN)
DESIGNATED PARTNER
Membership No. 228247
Registration No. 0S200062
Place:- CHENNAI
Date: - 25/08/2026

Shyam Dev
Mundhra
Director
DIN : 00692580

Girish Kumar Mundhra
Director
DIN : 02146795

UDIN: -